

implied return offered by immediate annuities becomes virtually impossible. To put it crudely, too many people are dying.

Back to Real-World Immediate Annuities

Notice also another subtle but interesting fact in Figure 9.3. The spread between the highest/lowest quotes, that is, what the most competitive versus least competitive insurance company is offering, appears to be shrinking over time. In other words, the gains from shopping or the dispersion between companies is on the decline.

My personal theory is that the declining spread between the highest and lowest quotes reflects a market that is becoming more commoditized and more competitive. And, although insurance companies might not welcome this trend, the end user can only benefit. In fact, the availability of the Internet—and the CANNEX Financial Exchange, which provides a transparent platform for users to see quotes in real time—helps accelerate this trend.

The Cons of Annuitization

A number of legitimate criticisms are often leveled against SPIAs and other annuitization-based products. I have already mentioned one of the major concerns, and that is the almost complete irreversibility of the decision after the policy has been funded and the product is acquired. Unlike almost any other financial instrument, like a stock, bond, or mutual fund, one cannot redeem, cash in, or even sell a SPIA in the secondary market. In many cases you completely cede any estate value when you annuitize.

To be honest, although this irreversibility is frustrating, it is perfectly understandable and justifiable. Imagine what would happen if individuals who are in poor health, or are perhaps even on their death bed, were allowed to “return” their SPIA certificate to the insurance company and then ask for a refund against all the payments they had not yet received. Obviously, everyone would do this and the insurance companies would completely lose their ability to diversify longevity